

you call your company a start-up even after being in existence for more than two years, you are probably wasting your time or money, or both.”

Assets are the single most important thing that can help raise the valuation of your start-up explosively. Although it seems simple, you would be surprised to know how many start-ups forget this critical point while trying to leverage their company.

But what exactly are these assets? And how can you use them to make your start-up more valuable?

The product

Assets are essential for driving investments into a start-up. It is no secret that a start-up needs investments to survive. No matter how much initial capital is invested in it, without investment it is extremely challenging to keep a start-up running. Not only are the assets required to carry out day-to-day operations but are also imperative for scaling your business smoothly.

“Income follows assets. And assets create value; they bring in revenue and raise a company’s value in the process. Until you have all the right assets your job is to build assets. There is no point in doing anything else but this,” says Tamboli.

The first asset is your minimum viable product, also known as the MVP. It is the initial idea that drove you towards setting up your start-up. It is the foundation of your company that drives the future operations and actions of your business. But merely having an idea, on its own, is unsalable. The outcome or by-product of that idea is what brings in the money. And that is your MVP.

If you lack a tangible product, or an IP (intellectual property) to highlight the true value of your start-up, you will end up relinquishing a lot of equity to the investors, which you might regret later.

“One of the mistakes start-ups make is that they try to reach out to investors early on. And what happens is, you get the market rate on certain notional value. And if you are negotiating with an investor, you will have to accept whatever number they put because you have nothing to contest it out,” says Tamboli.

In the case of an electronics start-

up, it could be a design that you have come up with or a niche product that you have discovered. Once you have your MVP ready, your start-up becomes much more solid in its functioning, even though your valuation might not rise much, because it then makes you ready to work on your next asset.

The core product is the next asset that comes out of your MVP. It is the tangible product or service that you can sell to consumers. It is what goes out into the market and what you show to the investors. It may be a low-function, low-feature product, but it is still a commercially sellable product.

BEFORE ASSEMBLING A TEAM, WORK ON BUILDING A PROPER OPERATING SYSTEM BASED ON WHICH THE TEAM CAN WORK.

Your ecosystem

At this stage, Tamboli says, “Most people will tell you that the team comes first, and the rest comes later. Unfortunately, it is not the case! You first need to build an operating process and an operating system.”

Creating an organised set of activities to follow when creating your product is particularly important before you bring in any team to start manufacturing or building your product. You can have the best people in your team but without a set of guidelines, there is no chronology in the order in which a team works, and that will make your business go haywire. There will be no coordination between them, and that can cost your start-up not just precious time but also a lot of money. Money that you are scarce of.

“The team has to sell something, and for that the product has to be valuable. I cannot have a great guy on my team and a zero-value product. That is not going to go anywhere. But if you have a great product and do not have a great guy, you still have a positive value,” explains Tamboli.

So, before assembling a team, work on building a proper operating system based on which the team can work. Working out how you will manufacture your product, sell it, repair it, market it, and so on will provide you with much-needed clarity when starting off your electronics business.

At the same time, it is important to know how to sell your product. Many entrepreneurs, when starting a business, want to be the brains behind the organisation. They want to build the design and the product but do not want to sell it.

It is your product, after all, and no one knows it better than you. You need to know as well as explain why it is necessary for your target market to buy it.

Before you can launch your product into the market, it is necessary that you know the ecosystem in which your product functions. Your electronics product would consist of several parts like batteries, raw materials, other components, and so on. You must have a thorough knowledge of the essential parts. The reason behind it is, if you have a part that is particularly difficult to source and will render your product useless, it will subsequently slump your value.

You need to ensure that the whole ecosystem does exist. If your product has replaceable parts, you will have to make sure that the supplier supplies those parts, and a supply chain is arranged for those parts. The importance of this step can especially be seen today when a pandemic has halted the production of major electronics brands and has triggered a major scarcity of chips in the electronics market.

Tamboli adds, “You want to make sure that the ecosystem is resilient. Without any appropriate ecosystem, people will find it difficult to buy your product. And then your sales will suffer, which means fewer customers, less value, and hence lower valuation.”

To understand what are the assets that you lack, simply ask yourself one question: What/who is it in your organisation that is causing a bottleneck and stopping it from effectively functioning?

Say, if your work stops when your software developer is not available for a day, it means his absence is caus-